



I WAS A TEENAGE CYBERCRIMINAL

by Dmitry Smilyanets

I started hacking in the mid-1990s as a thirteen-year-old living in Moscow. The Soviet Union had just crumbled, and my parents weren't making much money. We lived in communal housing until my dad, a state police officer, received a promotion and the state offered him an apartment. I still didn't own an extra pair of boots, but I now had my own bedroom. And a computer. My father had saved for years to buy it, believing access to technology would give me a better future. He turned out to be right, albeit in a roundabout way.

At the time, to access the internet, I had to use a dial-up connection we paid for by the minute. This was a problem because I had no money. So I found a workaround: I scanned the internet provider's network, located shared

folders full of password files, and cracked the passwords. Soon I was browsing for free. My crime felt small; the provider was a big company, and I was just a curious teenager.

That first hack showed me I was good at seeing holes in systems that others missed. I taught myself programming in BASIC, Pascal, then C; learned about networks and databases; and eventually stumbled upon CarderPlanet and ShadowCrew, the largest cybercrime forums at the time.

CarderPlanet was for Russian speakers, ShadowCrew for English speakers. I lurked on these forums for some time. The criminal underground runs on reputation; you have to build trust over the course of years, proving yourself through deals and technical work. I grew my influence slowly, until, by my early twenties, I had joined what would become one of the biggest hacking operations of all time.

Our scheme involved gaining access to the networks of large organizations, often Fortune 500 companies, through SQL injection, then infecting them with advanced malware that quietly collected credit card numbers as it moved through unencrypted parts of the system.

The team had five main members. Vladimir Drinkman performed network attacks and lateral movements. Alexander Kalinin specialized in SQL injection. Roman Kotov kept our access to networks active and harvested data from them. Mikhail Rytikov ran our servers. I handled the business side of things, which is to say I sold the stolen data.

I ran a wholesale business, supplying card numbers to all the public-facing sellers who advertised on forums. And I was good at it. By the end of the 2000s, we controlled more than half the dark web market for stolen card data. We had obtained over 160 million credit card numbers and generated more than \$300 million in losses.

* * *

Publicly, I lived a completely different life. In 2009 I started Moscow Five, an e-sports team that played video games like *League of Legends*, *Counter-Strike*, and *DotA* in international tournaments. I eventually became prominent enough in the e-sports world to lead Russia's national team. Reporters would interview me about gaming, having no idea I was also a wanted hacker.

On June 28, 2012, Vladimir and I went on vacation to Amsterdam. In Russia, the police hadn't seemed to care that we were hacking Western targets; as long as we didn't harm Russian companies and citizens, they didn't come after us. Because most of our victims were American, the Netherlands seemed safe as well. We stayed in a nice hotel. For two days, we walked the canals, taking pictures (Figure 2-1).



Figure 2-1: Dmitry Smilyanets in Museumplein, Amsterdam, in 2012

On the third day, as we were boarding a bus to Belgium, the Dutch police arrested us. Evidently they had been monitoring our movements in collaboration with the US Secret Service. The media blasted the public with pictures of my face, and the indictment called our arrest “the largest hacking case ever prosecuted in the United States.”

I spent my first night in a Dutch jail in shock. Everything I’d built was gone: the money, the reputation, even my e-sports empire. The cell was cold. I couldn’t sleep. I searched the prison library for books written in Russian and found only one, the Bible.

Although I had been baptized as a child in the Russian Orthodox Church, I had never actually read the Bible. That night, with nothing else to do, I started. I’d been reflecting on the millions of people whose data we’d stolen and thinking about my parents, who had given up so much for me only to see their son labeled a criminal on the news. The words I read hit me hard; in the Bible, sinners found grace and received second chances. By morning, I had reached Romans 13: “Let every soul be subject to the governing authorities.”

That week, I called my lawyer and told him I wanted to go to the US to face the American criminal justice system. He thought I was crazy. The Netherlands wasn’t required to send me there; I could fight my case for years, maybe even win. But I wanted to face justice for what I had done.

On September 7, 2012, the Dutch authorities flew me to Newark, New Jersey, in chains.



The Americans gave me a choice: I could go to trial and spend decades in prison, or I could help the government

and maybe serve less time. The decision was easy. I chose to help.

For four years I worked with the Secret Service, showing them how the Russian underground worked, how actors built trust on dark web forums, and how stolen data moved from hackers to other criminals. By creating a new persona on the underground forums (which I had to do because everyone there knew I had gotten arrested), I helped identify new threats and stop new attacks. Our Newark field office's multiagency task force (Figure 2-2) identified data breaches early and prevented colossal damage to US retailers and financial institutions, protecting their customers.



Figure 2-2: Dmitry Smilyanets at the US Secret Service Newark field office

The work environment was strange. While I waited for my sentence, agents flew me to meetings in Washington and asked for my opinion on various cybercrime matters. They treated me like a coworker, even though I was their prisoner.

When I finally stood before the judge in September 2018, the government informed me that I had helped prevent over \$700 million in losses, twice the amount in damages I had caused. The Department of Justice called me the most valuable asset in US history and declared my time served. I walked out free.

Vladimir, who had chosen to fight extradition to the US, got twelve years.



After prison, I faced the same question as every reformed criminal: What now? I had no real work history. Anyone who searched for my name would find the news stories about my arrest. But because I knew so much about the cybercriminal underground, I was invited to join the US-based threat intelligence company Recorded Future. My job became finding new threats and helping to prevent future attacks.

By 2020, I had a nice routine. I spent my days monitoring the dark web, helping law enforcement when needed, and otherwise tried to live a quiet, normal life. Then one day my phone rang. The call came from a Secret Service agent I'd worked with for years, asking about REvil ransomware.

I had been tracking ransomware groups for a while by then, and REvil had been making noise on the forums because its operators bragged about their attacks on their

leak site, which they called the “Happy Blog.” But why did the Secret Service care about ransomware? Its main job was to protect the president.

The agent explained: REvil had just attacked a law firm in New York called Grubman Shire Meiselas and Sacks, which worked with high-profile clients. As part of the attack, the gang claimed to have uncovered dirt on Donald Trump, who was nearing the end of his first term as president. The Happy Blog post in Figure 2-3 had gotten the Secret Service’s attention. The agent needed to know: Who were these people? What information did they really have? Was their claim real or just noise?



Figure 2-3: REvil’s “Happy Blog” advertising data on US President Donald Trump

I already had a partial answer to the first question because I had watched REvil evolve out of an earlier operation. In 2019 GandCrab, one of the most successful ransomware groups of the late 2010s, had shut down, with the operators claiming to be retiring. But when I

asked my sources in the underground about REvil's origins, they all pointed to GandCrab's leaders. "That's that Ukrainian guy," one said. "The owner of GandCrab. That's where it moved." I couldn't verify this information fully; Russian and Ukrainian criminals always blame each other. But the two groups' ransomware code was similar, as were their tactics.

Like GandCrab, REvil operated a ransomware-as-a-service model, where the core team built the malware and infrastructure, then recruited independent affiliates to conduct the actual attacks in exchange for a large cut of the ransom. This allowed REvil to grow quickly while keeping its hands clean.

The group was one of the first to adopt the practice of double extortion. Before REvil, ransomware groups simply encrypted files, then demanded payment in exchange for the encryption key. This meant organizations that kept good backups could ignore the ransom and restore the data themselves. REvil changed things by stealing the data before encrypting it. If the target refused to pay the ransom, the group would publish all its files on the Happy Blog: customer data, financial records, internal emails, trade secrets, and more.

The current situation followed this pattern. REvil had threatened to release dirt on Trump, raised its price from \$41 million to \$42 million when the law firm didn't pay, and even uploaded sample documents to prove it had real data.

The firm admitted it had been attacked, but because it said it had no relationship with Trump and no files about him, I believed the threat was a bluff. REvil was looking to scare future victims. As a marketing tactic, the bluff

worked; every company now knew who REvil was. But it backfired in another sense. By targeting the president, REvil had garnered the attention of every federal agency. The FBI, the Secret Service, and the NSA all began investigating. The group was getting so much attention that the dark web forum XSS got nervous and banned REvil from recruiting there. It had gotten too hot.

* * *

Curious to learn more about the gang, I decided to try to talk to UNKN (Unknown), REvil's main operator, directly—not through an undercover persona, but as myself.

In the underground, you can't just message a major operator and expect an answer. My background helped, however. To further bolster my credibility, I decided to approach the operation as a journalist. Recorded Future had just started *The Record*, a news site about cybersecurity. I created an account on the XSS dark web forum using the site's name and logo, then spent some time making myself known by replying to posts and liking content. I was active enough that someone at Recorded Future complained I was "blatantly liking criminal posts." They didn't understand that to get someone like UNKN to talk, you had to seem like part of the community.

I also interviewed some of the other Russian hackers I knew. Word spread that *The Record* was doing legitimate reporting, so when I finally messaged UNKN, he already knew who I was.

My first message was simple: "Hi, this is Dmitry from *The Record*. I would like to ask some questions." He responded, "Oh, we know you, Dmitry. We're following

you. We're reading your interviews." I promised UNKN that if he talked to me, I wouldn't alter any part of our conversation or implicate him in anything. He asked for time to think. A few days later, he agreed.

* * *

In prison, I'd read many books about psychology and interrogation methods, but in my discussion with UNKN, I chose a straightforward strategy: flattery.

The interview took place over encrypted messages. UNKN answered in Russian. He conversed freely, seemingly enjoying the opportunity to explain his success. While we talked about his operation's technical aspects, I was most interested in his view of the world and, most notably, his complete lack of guilt.

UNKN called himself a pure businessman. He expressed a willingness to target schools and critical infrastructure so long as they weren't located in Russia or nearby countries, and when I asked about the ethics of attacking hospitals, he showed no scruples, caring only about the victims' willingness to pay. I asked what amount of money could convince him to stop his operation. "There's never too much money," UNKN said. "No ceiling amount."

The most revealing moment came when I asked UNKN to share something personal that would help readers understand who he was. He answered:

As a child, I scrounged through the trash heaps and smoked cigarette butts. I walked 10 kilometers to school. I wore the same clothes for six months straight. In my

youth, in a communal apartment, I sometimes didn't eat for two or even three days in a row. And now I'm a millionaire.

His response was a window into what life was like in Russia following the Soviet collapse. His wealth was a form of revenge for that childhood. I understood something of this. I, too, had watched my parents struggle and felt the shame of having nothing. The difference was, I had found another outlet.

* * *

One aspect of REvil's operation that interested me was how it had succeeded in building trust so fast. In the underground, it typically takes years to establish a reputation, but as a new entity, REvil had moved quickly to recruit affiliates.

The group's approach was simple but powerful. UNKN had deposited \$1 million in Bitcoin on XSS. On dark web forums, the deposit system works like insurance; if a user cheats another member, forum admins can take money from the cheater's deposit to pay the victim. REvil had essentially communicated that it had so much money it could risk losing \$1 million.

Nobody had ever deposited so much money. The sum gave other hackers confidence that future payouts would come, attracting affiliates who wanted to work with a winning operation and simultaneously depleting the pool of skilled hackers available to competing ransomware families.

I learned some other valuable facts during my interview, such as details about how REvil picked targets. "Do

you target organizations that have cyber insurance?” I asked. UNKN’s answer showed smart planning:

It’s one of the tastiest morsels. Especially to have the insurers first, to get their customer base. And then work in a targeted way from there. And then after you go through the list, you hit the insurer themselves.

The logic was on point. Companies with cyber insurance are more likely to pay ransoms because the insurance covers the cost. But how do you figure out which companies are insured? You hack the insurance companies first, steal their customer lists, then attack those customers. REvil’s negotiators even had a script they used to talk to insured victims:

We know you got money. We know you got insurance. Don’t even waste time trying to explain how poor you are. Insurance will cover, so go pressure them.

When the insurance industry eventually caught on to this scheme, premiums went up, and some insurers stopped covering ransomware, while others required companies to implement strict security practices before granting coverage. REvil’s practices had effectively changed how businesses think about risk.

I also asked about ransomware negotiators: companies that victims hire to talk with attackers in the hopes of getting better deals. On this topic, UNKN had startling things to say. He told me REvil would recommend specific negotiation companies to its victims. Worse, the group would establish connections with the negotiators and, he explained, “tell the negotiating company beforehand the

list of future victims.” In other words, some negotiators weren’t just helping victims; they were working with the attackers to get early notice of targets, then positioning themselves to be hired when attacks happened. Companies that claimed to be defenders were involved in a criminal conspiracy.

Proof of this behavior came later, in the Conti leaks of 2022, in which the criminals made reference to “my negotiator.” The practice also came up in conversations with other members of the Ransomware Gang. Jon confided in me that a major ransomware group had presented him with the same opportunity, offering to tell him about future targets and encouraging him to approach them as a negotiator before the attacks in exchange for a cut of the profits. Jon was smart enough to use the information to stop attacks and build a case against the people behind the crimes, but not everyone shares his ethics.

* * *

I published my interview with UNKN in early 2021 and received a lot of attention for it. People used my research to better understand how ransomware operators think. But the story wasn’t over. In June 2021 US President Joe Biden met Russian President Vladimir Putin in Geneva to discuss, among other things, ransomware. The Americans were angry about attacks from Russia, notably the Colonial Pipeline attack, which had interrupted access to fuel across the East Coast. Biden warned Putin that future incidents would trigger consequences.

The following month REvil carried out its largest attack yet, hitting Kaseya, a company that provided IT tools to other businesses. The attack spread to Kaseya’s customers,

encrypting the data of roughly 1,500 organizations. REvil demanded \$70 million for the decryption key.

Then, after years of sitting atop the ransomware throne, UNKN simply vanished.

What happened to him? Jon has his own take, which he'll detail in Chapter 3. But unlike most researchers (including Jon), at the time I had many contacts close to UNKN. When I reached out to them, they led me to the XSS forum admin known as Toha, who provided me with a key detail: UNKN had been arrested. "But," Toha said, "not for ransomware."

Not for ransomware? What else could have taken down one of the most wanted ransomware hackers in the world? Some sources I spoke to said drugs. But the timing seemed too perfect for the arrest to have been a coincidence; UNKN had vanished right after the Kaseya attack, which had come shortly after the Biden–Putin meeting, when political pressure was at its highest. (Indeed, in January 2022, Russia surprised the threat intelligence community by arresting several other REvil-affiliated actors on Russian soil.)

Years later, another researcher found a possible answer. Around the time UNKN disappeared, Russian news had reported on the arrest of two local police officers charged with extortion. The timing matched exactly and was consistent with what Toha had said: The men had been arrested, but not for ransomware. If UNKN was doing both cyber and regular extortion and had made enemies in law enforcement, the arrest made sense.

I wasn't able to corroborate this theory until early April 2026, when the German federal criminal police, the Bundeskriminalamt, published an advisory naming

two Russians, thirty-one-year-old Daniil Maksimovich Shchukin and forty-three-year-old Anatoly Sergeevich Kravchuk, as the heads of GandCrab and REvil. The advisory named Shchukin as UNKN.

Interestingly, in February 2022, the US Department of Justice had filed a complaint for forfeiture against the cryptocurrencies seized from the virtual currency wallets held by a “Daniil Shchukin.” The approximately \$300,000 taken from the wallet is now in the custody and management of the FBI. The wallets were known to be connected to REvil, but even in the complaint, the agency never attributed the online moniker to the real-world persona.

* * *

People sometimes ask if I regret giving UNKN so much attention. It’s true that the interview did boost REvil’s reputation. But after the indictments and successful takedowns of some of the most damaging ransomware gangs in history, which both Jon and I were deeply involved in, I don’t think anyone can question our intent or claim that our tactics against criminals aren’t effective.

The case of UNKN demonstrates that what once made me a high-value target also made me a valuable asset. Twenty-five years ago, I was led to believe cybercrime was a victimless crime. That was a lie, and nothing built on lies lasts; I had to be stopped, as did UNKN and many other talented engineers who turn to cybercrime. Now that I’m on the other side, I consider my ability to relate to Eastern European cybercriminals, to understand what motivates and what discourages them, a gift.